

Indonesia and Thailand, which had been growing at a scorching pace until then. Japan continued to be in recession, and because of the problems in Asia, Russia was hit hard by a slump in demand for its two key exports, crude oil and non-ferrous metals. In mid-August, another global crisis erupted as Russia devalued the rouble, defaulted on domestic payments and suspended interest payment on foreign loans. This further alarmed global money managers, who were still dealing with the aftershocks of the previous year's Asian currency crisis.

A further strain on liquidity was the crisis at Long Term Capital Management (LTCM), one of the largest US hedge funds. LTCM suffered a colossal loss on its bets in Russia and had to be bailed out with a \$3.5 billion package put together by the US Federal Reserve and a consortium of top US financial institutions.

The Indian economy was on the mend after a steep decline in GDP growth the previous year, but inflation was a headache for much of the year, peaking at 8.8 per cent in September. At one point, onion prices climbed to Rs 60 a kg and tomato prices to Rs 40 a kg, which would be the equivalent of at least Rs 240 and Rs 160, respectively, at today's prices adjusted for inflation. Of course, the problem of inflation was not chronic back then, as it is now.

It was a bleak Diwali on Dalal Street that year as the index struggled to stay above 3,000. Among the worst hit blue chips was Tata Motors (TELCO), which saw its losses mount because of the sluggish economy. From a high of Rs 354 at the start of the calendar year, the stock crashed to Rs 98 by Diwali. Some brokers declared they would buy it only when the price touched Rs 50, a level they were confident they would see by end-December. These were the same brokers who, when the stock was at Rs 150, said they would buy it only when the price fell to Rs 100. They never got another chance. By new year's eve, the stock was quoting at Rs 170.

In November, the Companies Act was amended to include clauses for buyback of shares by companies, and SEBI notified the guidelines. The market had been eagerly looking forward to it, in the hope that it would be a big sentiment booster. When the rules were finally announced after a wait of more than eighteen months since P. Chidambaram first mentioned it, the market reacted with indifference. Given the overall downturn, it was unlikely that companies would be in any rush to buy back their shares.